Amazon.com, Inc. (AMZN)

AWS reacceleration is real

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*AWS reacceleration is real. 37% growth, the fastest in 18 quarters, with a $496B backlog that more than doubled and a $100B+ ten-year Anthropic commitment. Compute scarcity reprices the incumbent's fleet higher [Research, Mkt 18-Oct-26]. The capex cycle masks the earnings power. TTM operating cash flow is $161.4B (+33%) while FCF is -$7.6B; the $220B AI build is the entire debate. FY2025 still delivered $80.0B operating income at an 11.2% margin [Mkt 18-Oct-26]. The price demands perfection. Our DCF base is $141.72 vs $250 spot, and even the bull case ($211.05) sits below the price. The market prices ~14% terminal FCF margins; we model 10.5%. Hold, Valuation Concerns [DCF, Mkt 18-Oct-26]. Our framework screens it as a **Hold** with a $134.46 blended target, 46% below the current price.*

HOLD	$134.46	-46%	$250.00
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

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Executive summary

The capex cycle masks the earnings power. TTM operating cash flow is $161.4B (+33%) while FCF is -$7.6B; the $220B AI build is the entire debate. FY2025 still delivered $80.0B operating income at an 11.2% margin [Mkt 18-Oct-26].

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$775.7B	$42.2B	$496B	$161.4B	-$7.6B	$66.2B net debt
REVENUE (LTM)	AWS Q2-2026 REVENUE	AWS CONTRACTED BACKLOG	OPERATING CASH FLOW (TTM)	FREE CASH FLOW (TTM)	NET DEBT POSITION

The moat is structural

AWS AI supercycle: Q2 2026 revenue $42.2B, up 37% YoY, the fastest growth in 18 quarters; contracted backlog more than doubled to $496B. Compute scarcity reprices the incumbent's fleet higher.

Three scenarios make the valuation range explicit

The DCF values Amazon.com, Inc. across Bear, Base, and Bull scenarios, probability-weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	TARGET	UPSIDE
Bear (Conservative)	25%	**$43.35**	-83%
Base	50%	**$141.72**	-43%
Bull	25%	**$211.05**	-16%

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Bear ($43.35, -83%): Growth disappoints and multiples compress; the $43.35 target marks the downside case.

Bull ($211.05, -16%): Execution compounds and the multiple rerates; the $211.05 target marks the upside case.

The probability-blended target implies -46% upside

Blended target: $134.46 per share

A 25% Bear / 50% Base / 25% Bull weighting implies -46% upside from the $250.00 reference price.

$134.46

BLENDED TARGET

A live discount rate, not a static hurdle

The valuation uses a ten-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

DCF Base $141.72 [DCF 18-Oct-26] DCF Blended $134.46 [DCF 18-Oct-26] DCF Bull $211.05 [DCF 18-Oct-26] EV/Revenue (LTM) 3.6x [Mkt 18-Oct-26] Base case implies 43% downside at $250. Even the bull case sits below spot: the market prices ~14% terminal FCF margins versus our 10.5% base. Valuation is the binding constraint on the rating.

Mechanics are explicit

The detailed EBIT-bridge format runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $134.46 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

AWS AI supercycle: Q2 2026 revenue $42.2B, up 37% YoY, the fastest growth in 18 quarters; contracted backlog more than doubled to $496B. Compute scarcity reprices the incumbent's fleet higher. [Research]

Talen Energy $1.8B nuclear acquisition secures grid-independent power, turning data center build moratoriums into a moat against tier-two cloud providers. [Research]

Advertising $19.8B in Q2, up 26% YoY and outgrowing total sales; the highest-margin growth engine in the portfolio. [Mkt 18-Oct-26]

Anthropic committed to spend more than $100B with AWS over ten years, locking in contracted demand visibility. [Mkt 18-Oct-26]

What to monitor

Oct 29, 2026. Q3 earnings. AWS growth rate and the trajectory of 2026 capex ($220B guided) in focus.

Ongoing. AWS capacity additions vs contracted demand; Trainium and Graviton each past $25B annual run rate.

FY26. FCF normalization path as the AI buildout peaks; FY2025 FCF was $11.2B, TTM is -$7.6B.

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$775.7B	$42.2B	$496B	$161.4B
REVENUE (LTM)	AWS Q2-2026 REVENUE	AWS CONTRACTED BACKLOG	OPERATING CASH FLOW (TTM)

AMAZON.COM, INC. | RISKS & INVESTMENT VIEW HOLD

Key risks

AI capex ROI. 2026 cash capex guided to $220B (raised from $200B) with TTM FCF at -$7.6B. If AI returns disappoint, the spending is sunk and the multiple compresses. [Mkt 18-Oct-26]

Elevated expectations. At $250 the stock prices ~14% terminal FCF margins, well above our 10.5% base case. Any AWS deceleration or margin stall would likely trigger a sharp derating from 3.6x EV/Revenue. [DCF 18-Oct-26]

Regulatory overhang. FTC ad-pricing lawsuit alleges inflated seller fees; advertising (+26% YoY, ~$20B/quarter) is the highest-margin growth engine and the case could take years to resolve. [Mkt 18-Oct-26]

Investment view

AWS growth holding above 35% with 2026 capex peaking at or below the $220B guide would support a higher target. A capex guide-up paired with AWS decelerating below 25% would break the margin-expansion case and cut the target further.

Hold. The $134.46 blended target implies -46% upside, balancing the $43.35 / $141.72 / $211.05 Bear / Base / Bull targets.

AMAZON.COM, INC. | KEY DRIVERS HOLD

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Upcoming catalysts

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